Analysis of Hardest PYQs

Expert Identification of Technical Accountancy Questions

Based on the analysis of the provided question papers, the "hardest" questions are typically the **6-mark** long-answer questions that require multiple complex calculations, the preparation of specific ledger accounts, or intricate journal entries.

Here are the most challenging questions identified across the papers:

ANALYSIS OF HIGH-DIFFICULTY TOPICS

1. Pro-rata Allotment, Forfeiture, and Reissue of Shares

This is consistently the most technical and calculation-heavy question in the exam. It usually appears as **Question 23**.

Why it is hard: You must handle over-subscription (pro-rata), calculate excess application money adjusted towards allotment, determine "calls-in-arrears" for a specific shareholder (often requiring you to convert 'shares applied' to 'shares allotted'), and finally pass entries for forfeiture and reissue (often at a discount).

Specific Examples:

- ***2024 Set 1, Q23:*** *Mayank Ltd. invited applications for 70,000 shares but received 1,00,000. A shareholder (Jai) failed to pay allotment, and another (Meenakshi) failed to pay the first call.*
- ***2022 Set 1, Q23:*** *Vani Limited issued shares at a premium. Applications were received for 1,50,000 shares against 1,00,000 offered. You had to calculate unpaid allotment money for a shareholder (Parth) after adjusting for pro-rata excess.*

2. Preparation of Cash Flow Statement (With Adjustments)

Appearing as **Question 34**, this question requires preparing a Cash Flow Statement (or specific parts of it) from a Balance Sheet and additional notes.

Why it is hard: It involves hidden adjustments. You often need to prepare separate working notes (ledger accounts) for "Accumulated Depreciation," "Plant and Machinery," and "Provision for Tax" to find the missing figures for depreciation, sale of assets, and tax paid.

Specific Examples:

- ***2024 Set 2, Q34:*** *Calculate Cash Flows from Operating Activities for Kant Ltd. involving adjustments for depreciation, goodwill written off, loss on sale of machinery, and transfer to general reserve.*
- ***2022 Set 1, Q34:*** *A case study on Fizz Ltd. requiring the calculation of Cash Flows from Investing and Financing Activities, involving equity share capital, debentures, and machinery with accumulated depreciation.*

3. Dissolution of a Partnership Firm (Journal Entries)

This topic, often found around **Question 25**, tests your knowledge of how to close books when a firm shuts down.

Why it is hard: The difficulty lies in specific "Realisation" adjustments, such as a creditor accepting an unrecorded asset in full or partial settlement (which requires no entry or a complex entry) or the treatment of realization expenses paid by a partner on behalf of the firm.

Specific Examples:

- ***2022 Set 1, Q25:*** *C, D, and E dissolved their firm. Machinery worth ₹3,00,000 was given to creditors in full settlement (a tricky "no entry" scenario), and unrecorded assets were realized.*

- ***2024 Set 1, Q8 (b):*** *A short but tricky question involving the settlement of a creditor (Ravi) who didn't have a bank account and had to be paid in cash.*

4. Issue of Debentures with Terms of Redemption

Often appearing as **Question 21 (2024)** or **Question 26 (2022)**, this requires passing journal entries for issuing debentures under various conditions.

Why it is hard: You must simultaneously account for the "Issue" terms (par, premium, or discount) and the "Redemption" terms (par or premium). The entry for "Loss on Issue of Debentures" must be calculated correctly to match the "Premium on Redemption."

Specific Examples:

- ***2024 Set 1, Q21:*** *NK Ltd. issued debentures at a discount of 10% but redeemable at a premium of 10% after 5 years.*
- ***2022 Set 1, Q26:*** *Chiranjeevi Limited issued debentures in three different cases, including issue at discount and redemption at premium.*

5. Death of a Partner (Executor's Account)

This question (typically **Question 22**) asks for the preparation of the deceased partner's Capital Account.

Why it is hard: The calculation of the deceased partner's share of profit up to the date of death is the main hurdle. It can be based on time (number of days/months) or turnover (sales), requiring careful calculation of ratios and averages.

Specific Examples:

- ***2024 Set 1, Q22:*** *Kishore died on 1st August. You had to calculate his share of profit based on the last four years' average profit and adjust for goodwill and drawings.*